

Policy paths: what markets price against the central banks' own rules

Weekly brief, 2 October 2026 · USD as of 01 Oct · GBP as of 01 Oct · generated 2026-10-02

For each currency, the market-implied path of the policy rate over the next eight meetings, against the path a balanced-approach rule would take on the macro data public that day, held flat. The gap is market minus rule; its z is against the gap's own trailing two years.



The gaps, by meetings ahead (the charts label gap 4 and gap 8)

	as of	gap 1	gap 4	gap 8	z 1	z 4	z 8
USD	01 Oct	-5bp	+10bp	+12bp	+0.5	+2.5	+2.9
GBP	01 Oct	+41bp	+132bp	+219bp	+2.1	+1.7	+1.7
GBP – USD	01 Oct				+1.6	+0.7	+0.6

GBP – USD is gap minus gap on the sessions both have, z +0.7 at the fourth meeting. Its basis points are not shown: the two gaps take r* by different methods, so their difference is mostly that choice, and only its z is comparable.

The trades, before costs: what holding each signal earns or costs (CR), and a round trip (RT)

	as of	z	side	instrument	edge	CR 91d	E 91d	RT	carry and roll
USD outright	01 Oct	+2.5	receive	ZQ Apr 2027	+54bp	+25bp	+38bp	1.05bp	earns carry and roll
GBP outright	01 Oct	+1.7	receive	OIS forward 18 Mar-29 Apr 2027	+78bp	+29bp	+35bp	1.00bp	earns carry and roll
USD 2s10s	01 Oct	+2.1	receive	2y vs 10y Treasury	+31bp	+16bp	+17bp	1.00bp	earns carry and roll
GBP 2s10s	01 Oct	+0.0*	receive	2y vs 10y gilt	+0bp	+10bp	+3bp	2.00bp	earns carry and roll
GBP - USD 2y	01 Oct	+0.7*	receive	2y gilt vs 2y Treasury	+25bp	-4bp	+1bp	1.50bp	bleeds, pays

Edge: de-measured gap (curve, cross: a proxy for the legs' move). CR: carry and roll, curve frozen. E: past closure of the edge, CR on the rest. * |z| < 1.

What changed since last week

USD (25 Sep to 01 Oct): the gap at the fourth meeting moved +2bp to +10bp (z +2.4 to +2.5): the market -15bp, the rule -17bp, the rule because Core PCE for August printed 3.0% (from 3.4%).

GBP (25 Sep to 01 Oct): the gap at the fourth meeting moved -4bp to +132bp (z +1.8 to +1.7): the market -4bp, the rule +0bp.

What would make this wrong

The widest reading is USD at the fourth meeting (z +2.5, +10bp: the market prices more tightening than the rule). It is wrong if the market is right that Core PCE (3.0%) and unemployment will not stay where they are: the rule holds them flat, so a market pricing their change looks mispriced to it when it is not.

Limitations (from the data-quality and lag tags in config)

USD: scheduled FOMC dates are treated as known on every date (fomc.csv records no publication date) · USD: core PCE's latest one or two months are bridged from core CPI until PCE prints (real-time RMSE 0.075pp m/m) · USD: CBO's natural rate has vintages only from 2011-02-02, so the model path starts 2011-03-04 · USD/GBP: hold-flat conditioning: inflation, the unemployment gap and r* stay at today's values at every meeting · USD/GBP: the rule is imposed from the Fed's Monetary Policy Report, not estimated · USD: r* is the SEP median as FRED rounds it (to within 5bp); Taylor's 2% before the first dot, 2012-01-25 · USD: Treasury legs are H.15 constant-maturity par yields: a fitted curve, not traded bonds · USD: 34 of 3,921 USD sessions have no Treasury yields (bond market shut, CME open): a leg carries its last print · USD/GBP: a par leg is funded at the overnight rate, standing in for repo · USD/GBP: legs are DV01-linear, so the P&L leaves out convexity: under 3bp a year per unit DV01 on a 2s10s receive, 7bp at most (2022) · GBP: the Bank's OIS curve has monthly maturities, so a meeting's step is placed by interpolating between them; against the Bank's own MPR conditioning paths the path is within 1.0bp on average · GBP: scheduled MPC dates are treated as known on every date; the September 2022 meeting is listed on the 22nd, where it was moved to · GBP: CPI release days before February 2016 are dated the 26th of the month (up to ~10 days late, never early) · GBP: LFS release days before April 2016 are dated the 26th of the month (up to ~10 days late, never early) · GBP: LFS unemployment is noisy after the 2023 response-rate collapse: suspended Oct 2023-Jan 2024 (the last official vintage is held), "official statistics in development" Feb 2024-Aug 2026, volatile in mid-2023 and 2024, and a collection error in May-June 2026 degraded releases from July · GBP: u* is a constant 4.5%, not a real-time estimate · GBP: r* is a constant (-1.6%, the 2009-26 average real Bank Rate): a hindsight number that moves the bp gap, not the z · GBP: the outright is a meeting-dated OIS forward off the Bank's fitted curve, not a traded contract · GBP: gilt legs are par yields from the Bank's fitted spot curve, not traded gilts; a missing 0.5y point is interpolated (at most 0.3bp on 2y par) · GBP: GBP legs convert at the H.10 noon New York rate, not the London close, carried over Fed holidays (132 of 4,063 GBP sessions)